

TABLE III.—TOTALS DIVIDED ACCORDING TO SIZE OF COMPANY
A. SIZE MEASURED BY SELLING PRICE OF COMPANY AT END OF 1938

Size (1)	Number of com- panies in group (2)	Common stock at market (millions) (3)	Tangible assets for common (millions) (4)	Ratio of columns 4 to 3, % (5)	% earned on 1938 price of common			% earned on tangible assets for common 1934–1938 (9)
					1934– 1938 (6)	1936– 1938 (7)	1938 (8)	
Less than 10 millions	252	968.0	1,323.9	136.8	3.4	5.0	(d)	2.5
10–100 millions	309	7,292.4	5,575.4	76.4	5.3	2.9	2.9	6.9
100–1000 millions	82	17,016.1	11,368.4	66.7	5.3	6.2	4.5	7.9
Over a billion	5	7,135.9	3,712.4	52.0	4.6	5.5	2.9	8.9

B. SIZE MEASURED BY NET TANGIBLE ASSETS AT END OF 1938

Size (1)	Number of com- panies in group (2)	Common stock at market (millions) (3)	Tangible assets for common (millions) (4)	Ratio of columns 4 to 3, % (5)	% earned on 1938 price of common			% earned on tangible assets for common 1934–1938 (9)
					1934– 1938 (6)	1936– 1938 (7)	1938 (8)	
Less than 10 millions	250	1,493.0	951.1	63.6	4.9	6.0	2.4	7.7
10–100 millions	331	10,454.5	6,761.4	64.4	4.9	5.8	3.0	7.6
100–1000 millions	64	16,303.5	11,321.6	69.4	5.1	6.0	4.2	7.3
Over a billion	3	4,161.4	2,946.0	70.8	5.5	6.7	3.0	7.8
All companies	648	32,412.4	21,980.1	67.6	5.1	6.0	3.6	7.5

The two major factors covered by our study were the following:

1. Relation of market price to earnings for 1938, 1936–1938 and 1934–1938.
2. Relation of market price to 1938 tangible asset values and net current-asset values.

In addition to these central elements we compiled data concerning:

3. The relation of 1938 sales (*i.e.*, gross business) to common-stock prices and earnings.
4. The working-capital ratio; the relation of working capital to sales; the division of current assets between cash assets, receivables and inventories.